Quillmark Analytics: Q3 FY2026 Quarterly Report

Quarter ended September 30, 2026. Prepared by the Finance team for the Board of Directors. Fictional company; all figures are invented.

1. Highlights

- Revenue was **$18.4 million**, up 27% from $14.5 million in Q3 FY2025 and up 6% from $17.3 million in Q2 FY2026.
- Annual recurring revenue (ARR) reached **$71.2 million**, up 31% year over year.
- Net revenue retention was **118%**, compared with 112% a year ago.
- Gross margin improved to **76.6%**, from 73.1% in Q3 FY2025, mainly because of lower cloud hosting costs per customer.
- Operating loss narrowed to $1.1 million, from $3.4 million a year earlier.
- The company signed 14 new customers, including FreshWay Markets, its largest contract to date (3 years, $4.8 million total contract value).
- Cash and short-term investments were $42.6 million at quarter end.

Quillmark's fiscal year runs from January 1 to December 31, so Q3 FY2026 covers July 1 to September 30, 2026.

2. Income Statement Summary

All figures in millions of US dollars.

Line item	Q3 FY2026	Q2 FY2026	Q3 FY2025	YoY change
Subscription revenue	16.9	15.9	13.0	+30%
Professional services	1.5	1.4	1.5	0%
Total revenue	18.4	17.3	14.5	+27%
Cost of revenue	4.3	4.2	3.9	+10%
Gross profit	14.1	13.1	10.6	+33%
Research and development	6.2	6.0	5.8	+7%
Sales and marketing	6.4	6.3	6.0	+7%
General and administrative	2.6	2.5	2.2	+18%
Operating income (loss)	(1.1)	(1.7)	(3.4)	improved

3. Revenue Detail

3.1 By customer segment

Segment	Customers	Q3 revenue ($M)	Share
Enterprise (more than 200 stores)	23	9.8	53%
Mid-market (40 to 200 stores)	61	6.1	33%
Independent and regional (under 40 stores)	148	2.5	14%
Total	232	18.4	100%

3.2 By region

The United States contributed $15.1 million (82%) and Canada $3.3 million (18%). Canadian revenue grew 44% year over year following the opening of the Toronto office in February 2026.

3.3 Products

The core product, **Quillmark Forecast**, accounted for 71% of subscription revenue. **Quillmark Shelf**, the inventory optimization add-on launched in Q4 FY2025, reached 58 customers and $2.9 million in quarterly revenue. The new **Waste Insights** module entered beta with 9 customers and is expected to be generally available in Q1 FY2027.

4. Operating Metrics

Metric	Q3 FY2026	Q3 FY2025
Headcount at quarter end	341	288
Customer count	232	196
Average ARR per customer	$307,000	$277,000
Gross revenue churn (annualized)	4.8%	6.2%
Platform uptime	99.91%	99.97%
Customer satisfaction (CSAT)	4.5 / 5	4.4 / 5

Platform uptime fell short of the 99.95% target because of the April 17 forecasting outage (incident INC-2026-0417). The incident occurred in Q2 but service credits of $186,000 were issued in Q3 and are recorded as a reduction of subscription revenue.

5. Cash Flow and Balance Sheet

- Operating cash flow was positive at **$0.9 million**, the second consecutive positive quarter.
- Capital expenditure was $0.4 million, mainly laptops for new hires and the Toronto office fit-out.
- Free cash flow was $0.5 million.
- Deferred revenue rose to $29.7 million, from $24.1 million a year earlier, reflecting more annual upfront billing.
- The company has no debt. An undrawn $10 million revolving credit facility with Cascade Commercial Bank remains available until 2028.

6. Outlook for Q4 FY2026

Management expects Q4 FY2026 revenue between **$19.2 million and $19.6 million** and an operating loss between $0.4 million and $0.8 million. Full-year FY2026 revenue is expected to be between $71.0 million and $71.4 million, up from $55.9 million in FY2025.

Management targets operating break-even in Q2 FY2027. Key risks include grocery sector consolidation, slower-than-expected adoption of Waste Insights, and rising hosting costs if the planned migration to reserved cloud capacity (Project Atlas) slips.

7. Headcount Plan

The company plans to hire 22 people in Q4, mostly in engineering (12) and customer success (6), bringing year-end headcount to approximately 360. Hiring for G&A roles is paused until Q1 FY2027.